UNIVERSITY OF ENERGY AND NATURAL RESOURCES, SUNYANI, GHANA

SCHOOL OF SCIENCES

DEPARTMENT OF MATHEMATICS AND STATISTICS

LEVEL 300 END OF SECOND SEMESTER EXAMINATION, 2017/2018

BACHELOR OF SCIENCE (ACTUARIAL SCIENCE)

ACTS 308: PRINCIPLES OF FINANCIAL ACCOUNTING

MAY, 2018 **TIME: 3 HOURS**

INSTRUCTIONS

- Write down your index number and programme's name on the answer Booklet and / or the supplementary answer sheet(s).
- Answer all questions in **PART 1.**
- Answer one question from **PART 11.**
- All rough work must be done in the answer booklet or the supplementary Answer sheet(s) and must be handed in at the end of the examination.

Examiner: Y. Osei

PART 1

ANSWER ALL QUESTIONS

Question 1.

(a) A new trainee in your firm is having difficulty understanding basic accounting, in particular the distinction between assets and liabilities. Explain to him what assets and liabilities are. [6]

(b) Classify the following items into liabilities and assets [4]

i) Computers
ii) Buildings
iii) Account payable inventory
iv) Inventory
v) Account receivable
vi) Bank overdraft
vii) Loan to D. Amponsah
viii) Loan from F. Katakyie

Question 2.

Identify five different users of financial statements, and their respective needs. [10]

Question 3.

State **three** differences between financial accounting and management accounting. [6]

Question 4.

(a) Identify **two** advantages and **two** disadvantages of trading as a partnership. [4]

Question 5.

Kwame Despite is starting a business. Before starting to sell anything, he bought fixtures for GHS12, 000, Motor Van for GHS60, 000 and stock of goods for GHS28, 000. Although he has paid in full for the fixtures and the Motor Van, he still owe GHS16, 000 for some of the stock. Sarpong lent him GHS25, 000. After the above, Despite has GHS2, 000 in the business' bank account and GHS1, 750 cash in hand.

(a) Calculate Kwame Despite's capital. [4]

(b) What is his total liability? [3]

Question 6 [8]

Complete the columns to show the effects of the following transactions:

	Effective upon		
	Assets	Liabilities	Capital
a) Bought a van on time GHS 8,700			
b) Repaid by cash a loan owed to F. Duff GHS 10,000.			
c) Bought goods for GHS 1,400 paying by cheque.			
d) The owner puts a further GHS 4,000 cash into the business			
e) A debtor returns to us goods worth GHS 150 We agree to make allowance for them.			
f) Bought goods on time GHS 760.			
g) The owner takes out GHS 200 cash for his personal use.			
h) We pay a creditor GHS 1,150 by cheque.			

Question 7

A sole trader had opening capital of GHS 10,000 and closing capital of GHS 4,500. During the period, the owner introduced capital of GHS 4,000 and withdrew GHS 8,000 for her own use. Calculate her profit or loss. [4]

Question 8

Afia Kobi commenced business on 1 February 2018, paying into a business bank account.

During the month the following transactions took place. All payments were made by cheque and all receipts were banked.

1 Feb. Bought goods for resale	GHS 15,000
5 Feb. Paid rent	GHS 5,000
10 Feb. Business takings to date	GHS 29,000
22 Feb. Paid for advertising	GHS 2,500
26 Feb. AfiaKobi's drawings	GHS 10,000
27 Feb. Business takings	GHS 24,000

You are required to:

(i) Write up the bank account; [5]
(ii) Write up all the other account. [5]

Question 9

Differentiate between current assets and non-current assets. [5]

Question 10.

How does bookkeeping differ from financial accounting? [6]

PART 11

ANSWER ONE QUESTION ONLY FROM THIS PART

EACH QUESTION IS WORTH 30 MARKS

Question 1.

Enter the following transactions for the month of December 2017 of Kantankrakyi finishing retail shop, balance-off all the accounts, and then extract a trial balance as at 31st December 2017.

2017
Dec.

1. Started in business with GHS105,000 cash.
2. Put GHS90,000 of the cash into a bank account.
3. Bought goods for cash GHS5,500.
4. Bought goods on time from T. dry, GHS8,000, F. Hood, GHS9,300, M. Smith, GHS1,600 and G. Low, GHS5,100.
5. Bought stationery on time from Buttons LTD. GHS890.
6. Sold goods on time to R. Tong, GHS1,700, L. Fish, GHS2,400, M. Single, GHS3,260, and A. Tom, GHS2,040.
8. Paid rent by cheque GHS 2,200
10. Bought fixtures on time from Chiefs LTD, GHS6,100.
11. Paid salaries in cash, GHS7,900.
14. Returned goods to F. Hood, GHS300, M. Smith, GHS420
15. Bought van by cheque GHS65,000.
16. Received loan from B. Barclay by cheque GHS20,000
18. Goods returned to us by R. Tong GHS 50, M. Single GHS200.
21. Cash sales GHS1,450.
24. Sold goods on time to: L. Fish GHS1,300, A. Tom GHS4,100, and R. Pleat GHS 1,580.
26. We paid the following by cheque: F. Hood GHS9,000, M. Smith GHS1,180
29. Received cheques from: R. Pleat GHS1,580, L. Fish GHS3,700.
30. Received a further loan from B. Barclay by cash GHS 5,000
31. Received GHS 6,140 cash from A. Tom.

Question 2.

The following trial balance has been extracted from the books of Mad. YaaMaanu, a sole trad

TRIAL BALANCE AS AT 30TH JUNE 2017

	Dr GHS	Cr GHS
Sales		138,078
Purchases	82,350	
Carriage	5,144	
Drawings	7,800	
Rent, Rates and Insurance	6,622	
Postage and Stationery	3,001	
Advertising	1,330	
Salaries and Wages	26,420	
Bad debts	877	
Allowance for doubtful debts		130
Account receivable	12,120	
Account payable		6,471
Cash in hand	177	
Cash at bank	1,002	
Inventory as at 1 June 2016	11,927	
Equipment at cost	58,000	
Accumulated depreciation		19,000
Capital		53,091
	216,770	216,770

The following additional information is available as at 31st may 2017:

a) Rent is accrued by GHS 210.
b) Rates have been prepaid by GHS 880.
c) GHS 2,211 of carriage represents carriage inwards on purchases.
d) Equipment is to be depreciated at 15% per annum using the straight line method.
e) The allowance for doubtful debts to be increased by GHS 40
f) Inventory at the close of business has been valued at GHS 13,551.

You are required to:

Prepare a statement of profit or loss for the year ending 30th June 2017 and a statement o financial position as at that date.

Question 3

(a) Define partnership and state the characteristics of partnership.

(b) Obrempon, Dasebre and Katakyie want to enter into partnership to sell toys. They want to have a written agreement for their business:

Discuss **five** issues that might be contained in the agreement according to the accounting contents.

(c) Judas, Iscariot and Amidu are partners. They share profits and losses in the ratio of 1/4, 1/4, 1/2 respectively.

For the year ending 31 December 2016 their capital accounts remained fixed at the following amounts:

	GHS
Judas	700,000
Isacariot	900,000
Amidu	1,000,000

They have agreed to give each other 6% interest per annum on their capital accounts.
In addition to the above partnership salaries of GHS 600,000 for Iscariot and GHS 100,000 for Amidu are to be charged.
The net profit of the partnership before taking away the above into account was GHS 1,800,000

You are required to:

Draw up the appropriation account of the partnership for the year ending 31 December 2016